

Rates Strategy

A global bond glut

A shift from a global savings glut to a bond glut points to structurally higher long-term yields, reflecting persistent fiscal deficits alongside a price-sensitive buyer base. Incremental measures such as shortening issuance may slow the adjustment, but are unlikely to prove sustainably effective.

- **Long-end yields across developed markets have repriced to multi-decade highs**, but the driver is not a return to past rate expectations: despite similar outright levels, current yields reflect a much larger role for term premia, rather than the expected path of short rates, pointing to a structural shift in how duration risk is priced ([Figure 1](#)).
- **Budget deficits remain elevated across major economies, but the causes differ across regions**: in the US through an erosion of convenience yield, in Europe due to vulnerability to fiscal stress re-emerging under weaker macro conditions, in the UK because of heightened sensitivity to fiscal narratives, and in Japan via fiscal expansion feeding into inflation risk premia.
- **A common thread across markets is that the buyer base has become more price sensitive**: Reduced central bank and official sector support have weakened inelastic demand for duration, while a growing reliance on private investors and a diminished perception of bonds as reliable diversifiers mean that sovereign curves now need to clear at higher term premia.
- **Supply-side adjustments are helping at the margin, but not changing the direction of travel**: Whether through the Treasury's bill skew, lower WAM issuance in Europe, active remit adjustments in the UK, or super-long issuance cuts in Japan, issuance management can slow the pace of cheapening, but has not been enough to generate a durable rally at the long end ([Figure 2](#)).
- **Absent a true macro regime shift, long-end rallies are likely to be temporary**: A sustained rally would likely require a material growth shock, a decisive return to policy easing or balance-sheet support, or a meaningful restoration of fiscal credibility; otherwise, the bias remains toward structurally higher long-end yields.

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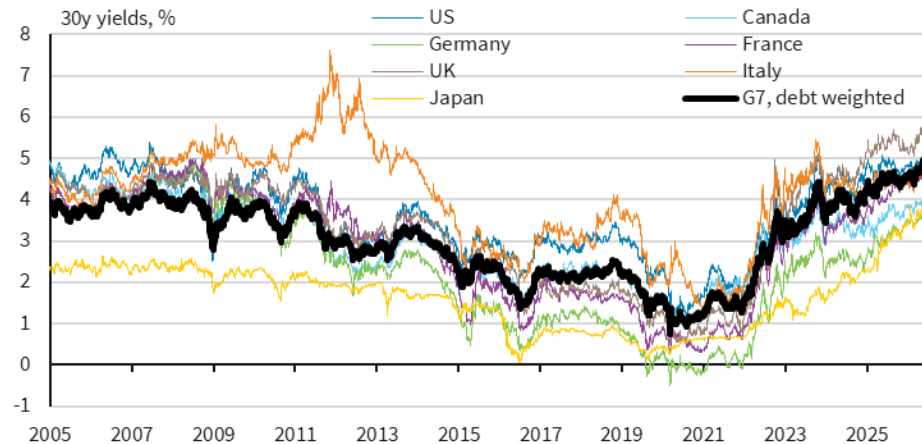
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FIGURE 1. The weighted average G7 30y yield is approaching 5%, well above the pre-GFC average of about 4%



Source: Bloomberg, Barclays Research

FIGURE 2. Despite attempts to shorten issuance WAM by DMOs, markets would still have to absorb meaningful duration supply next year

Gross issuance					Gross issuance, 10y WAM equivalent basis				
USD bn	2024	2025	2026E	2027E	USD bn	2024	2025	2026E	2027E
USTs	4,311	4,390	4,395	4,564	USTs	3,048	3,091	3,094	3,172
EGBs	1,466	1,591	1,754	1,741	EGBs	1,525	1,591	1,666	1,654
JGBs	1,145	1,151	1,067	1,091	JGBs	973	932	747	763
Gilts	358	435	310	335	Gilts	437	422	263	275
Total	7,280	7,567	7,526	7,731	Total	5,982	6,036	5,770	5,865

Source: Barclays Research

US: Returning to the old normal

- **Long-end yields have reverted to pre-GFC levels, but their composition has fundamentally shifted:** Expected real returns on cash are significantly lower, with term premia – both rate and fiscal – playing a larger role, particularly the latter. The inflation risk premium is very well contained for now, but eroding insurance value is increasing the compensation private investors are demanding to absorb duration.
- **Scope remains for further repricing through neutral rates and fiscal premia:** Investment-driven demand is likely to push estimates of r^* higher versus the consensus, which remains too anchored to the post GFC–pre COVID era. There is room for the deficit outlook to worsen, rate volatility to rise and a shortening of the Fed's balance sheet to add to the term premium.

30y yields back near 5%: Same level, different story

30y yields have moved back near 5%, briefly revisiting levels last reached in 2007 and drawing renewed market attention. The 5% threshold remains much watched, with evidence of demand from investors seeking to lock in long-duration yields at attractive levels. Here, we place current levels in a historical context and decompose 30y yields into their key drivers to assess the path.

Long-end yields can be decomposed into the expected path of short rates (ie, the expected return from holding T-bills) and the term premium required to bear duration risk. Both components can further be split into real and inflation elements. An alternative lens is to decompose term premia into rate-driven factors, capturing compensation embedded in swap rates relative to expected short rates, and fiscal-specific factors, reflected in the asset swap spread between Treasury yields and swap rates.

Figures 3 to 5 present this decomposition over time and across key snapshots. Several points stand out:

A significantly lower expectations component: While 30y yields are back near 2007 levels, the expectations component (based on surveys) is materially lower. Current estimates point to ~3.1% nominal, versus ~4.4% in 2007, 130-140bp lower. While surveys may be lagging and understating true market expectations, the magnitude of the gap suggests this is not purely a measurement issue.

The rate term premium has normalized higher: The rate-driven term premium (30y swap rate minus the above expected rate) is now well above pre-COVID levels and also somewhat above pre-GFC norms, indicating investors are being compensated for taking duration risk. 30y swap rates currently trade at ~110bp over the survey based expectations component, in between the ~90bp average in the 2000s and the mid-1990s levels of 120bp.

Inflation compensation is well anchored: Long-term inflation expectations and risk premium have been well anchored and are not the reason 30y yields have risen from the lows. Most forecasters continue to have faith in the Fed's inflation-fighting credibility and expect core PCE inflation to be near 2%. In addition, 5y5y CPI swaps have been trading in a tight range near 2.4%, also pointing to very little inflation risk premium, recently reflecting the Fed's singular focus on price stability.

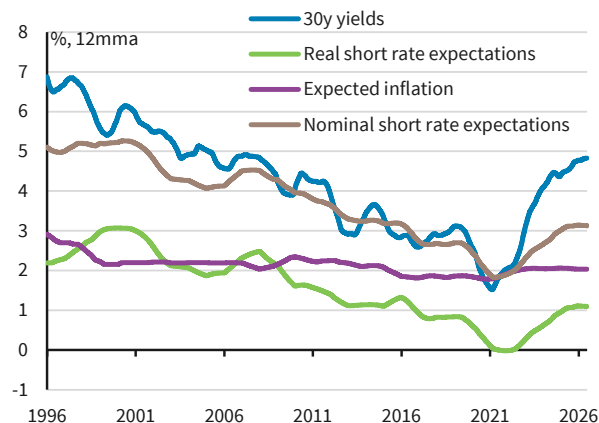
Fiscal premium is clearly visible in asset swap spreads: Perhaps the most striking shift is in asset swap spreads. 30y Treasuries trade at +70bp to swaps, markedly cheaper than the -70bp in 2000 and -20bp in the mid 1990s (both converted into SOFR equivalents). This suggests that investors are already demanding meaningful compensation for the deteriorating fiscal profile.

Bottom line: 30y yields of about 4.9% embed an expected short rate of 3.1%, a rate term premium of 1.1% and a fiscal risk premium of 0.7%. Although 30y yields are back near 2007 levels, the underlying composition is fundamentally different. Expected real returns on cash are significantly lower and term premia are playing a larger role.

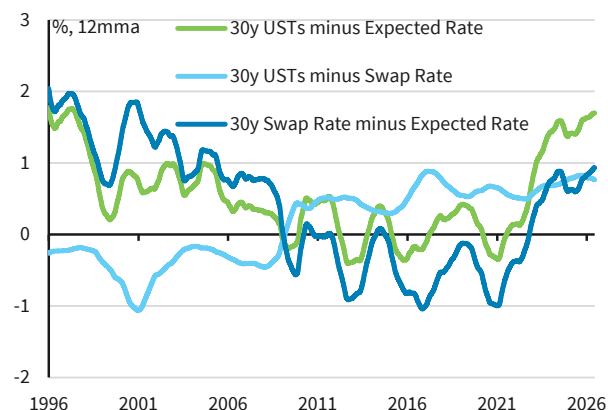
FIGURE 3. Although 30y yields are back near 2007 levels, the underlying composition is fundamentally different; expected real returns on cash are significantly lower and term premia are playing a larger role

%	30y Expectations component				Rate Term premium		Fiscal Risk Premium
	30y UST	Real Short Rate	Expected Inflation	Nominal Short Rate	30y swap rate	30y Swap Rate minus Expected Rate	30y USTs minus Swap Rate
Dec-95	5.95	2.30	2.70	5.00	6.16	1.16	-0.21
Dec-00	5.46	3.00	2.20	5.20	6.17	0.96	-0.71
Jun-07	5.02	2.52	2.03	4.55	5.49	0.93	-0.46
Dec-19	2.39	0.46	1.79	2.25	1.79	-0.46	0.60
Jun-26	4.93	1.10	2.03	3.13	4.21	1.08	0.71

Using surveys to estimate the expected path of nominal and real short rates and inflation. Libor-based swap rates have been adjusted lower in the historical data.
Source: Federal Reserve, Haver Analytics, Barclays Research

FIGURE 4. The expectations components in 30y yields

Source: Federal Reserve, Haver Analytics, Barclays Research

FIGURE 5. 30y term premium, broken into rates and fiscal

Source: Federal Reserve, Haver Analytics, Barclays Research

Where to from here?

We see two potential drivers of higher 30y yields: a reassessment of the nominal neutral rate and somewhat greater fiscal risk premium. Whether the rate term premium moves higher depends on the Fed's communication and its balance sheet policy.

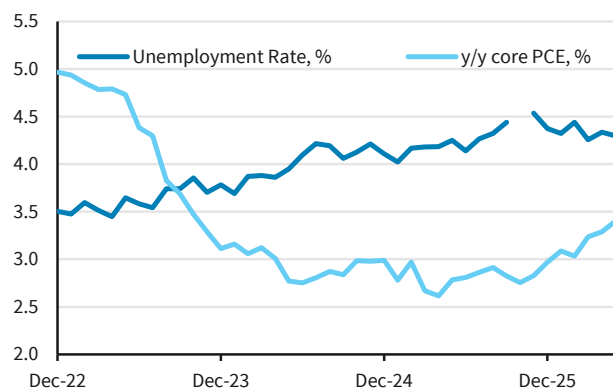
Room for neutral rate estimates to move higher

Recent economic data point to a robust growth backdrop, resilience in the labor market and a further pickup in core inflation. US economy has likely grown about 2.5% in the first half of the year. Job gains have picked up, averaging 114k/month YTD, versus 30k during the same time last year, and the unemployment rate has moved lower. Core PCE inflation has risen to 3.4% y/y in May from 3% at the beginning of the year (Figure 6). All of this calls into question whether the nominal neutral rate is below the overnight rate, let alone around the consensus forecast of 3.1%.

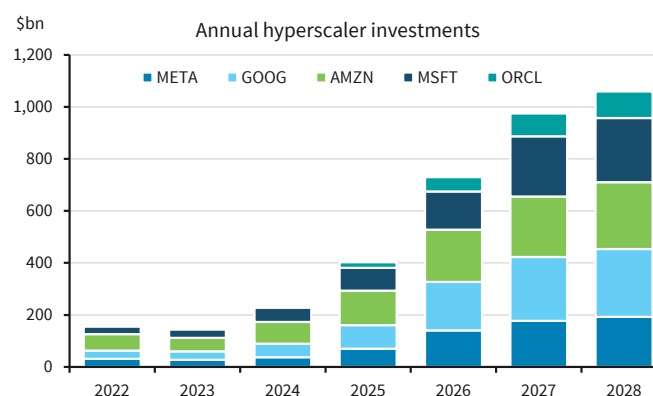
From a first principal perspective, the saving-investment imbalance is shifting to excess investment, which points to a higher neutral rate for a given estimate of trend growth. Figure 7 shows that hyperscaler investments have risen to about 2.2% of GDP in 2026, with an expectation of \$1trn, or 3% of GDP, by 2028. Meanwhile, the personal savings rate has fallen dramatically, to about 2.5%, due to growing household net worth (Figure 8). These trends also point to a rising neutral rate.

In Figure 9, we tabulate estimates of the nominal neutral rate across major models. The average is about 3.5%, with the higher end nearing 4%. The lower end, which includes the Fed's long-run dot, is likely lagging the economic performance, and we expect model estimates to drift higher.

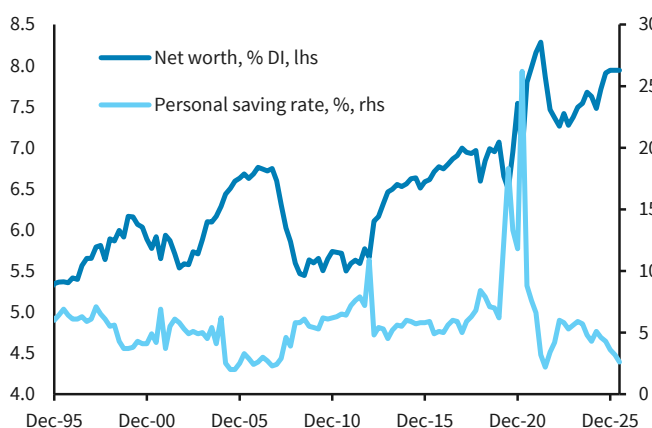
All of the above suggests that the market should be discounting a nominal neutral rate near 3.5%, with the risk of skewing towards 4%, rather than 3%. All else equal, this should push long-term yields even higher.

FIGURE 6. The unemployment rate has fallen and core inflation has risen in recent months

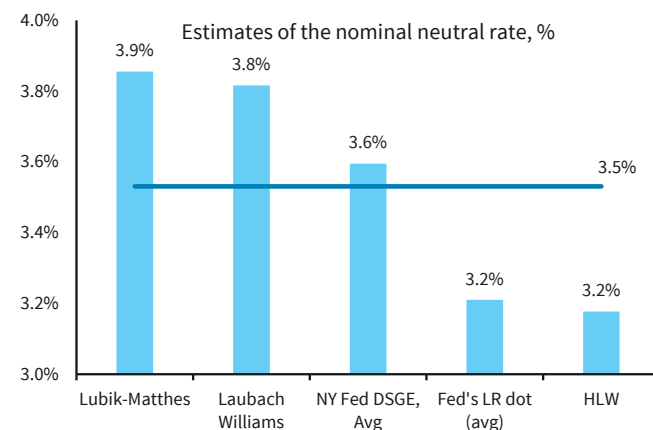
Source: Haver Analytics, Barclays Research

FIGURE 7. Hyperscaler investments are expected to rise to about 3% GDP

Source: Barclays Research

FIGURE 8. The household saving rate has moved sharply lower

Source: Haver Analytics, Barclays Research

FIGURE 9. Model-based estimates of the nominal neutral rate are above the consensus

Source: Haver Analytics, Barclays Research

Room for fiscal risk premium to move somewhat higher

Figure 10 shows that 30y swap spreads are quite sensitive to the budget deficit outlook. In the mid-1990s, the government was expected to run a large budget surplus; as a result, swap spreads were quite wide. However, as the outlook moved towards persistent deficit, they have turned negative. A 1pp increase in average deficit pushes up 30y Treasury yields relative to swap rates about 15bp, in our view (Figure 11).

We estimate that the markets are discounting an average 10y budget deficit of 6-6.5% GDP. This looks broadly in line with the CBO's latest forecast of 6.1% GDP and a debt/GDP ratio of 120% by 2036. However, the CBO's assumptions now seem somewhat benign, given the slippage in tariff revenues and higher interest costs.

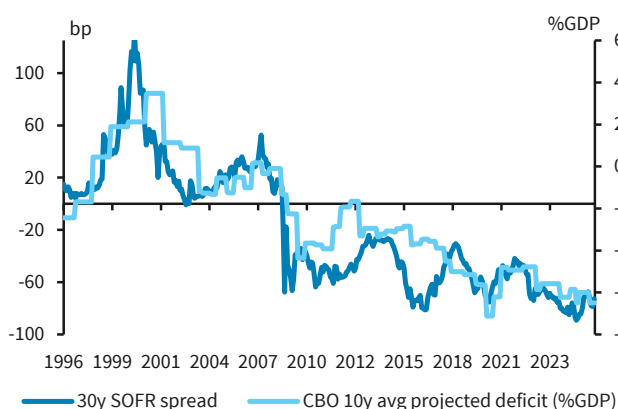
Figure 12 shows that the effective tariff rate has fallen to 7-8%, from a peak of 12% and the CBO's assumptions of 15%. The CBO assumed that the custom duties would total about \$4trn in revenues in 2027-36. At a 10% effective rate, they would be about \$2.7trn, or \$1.3trn lower. Higher interest rates also add to budget deficits. Figure 13 shows that every 10bp adds about \$380bn to 10-year cumulative deficits. For instance, 5-year yields have risen about 50bp

year-to-date, which, if sustained, implies about another \$1.9trn in 10-year deficits. **One potential offset is strong productivity gains.** The CBO estimates that a 0.5pp improvement in annual productivity growth would reduce 10y average deficits by \$1.6trn.¹

Overall, it appears that the fiscal outlook is likely worse than what the CBO assumed earlier in the year. Were the budget deficit to average 7% GDP instead, 30y swap spreads would be about -85bp.

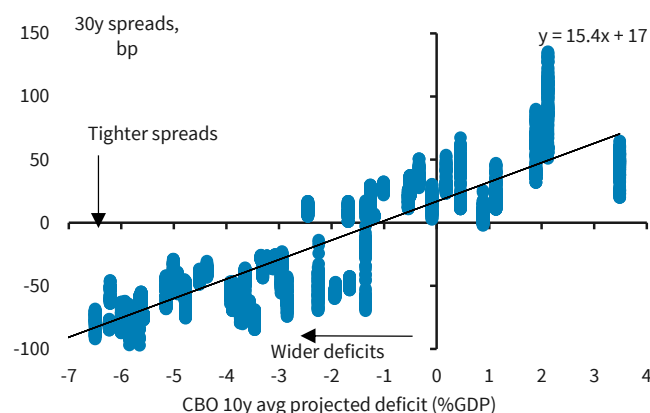
We believe the Treasury's issuance strategy is likely helping keep the fiscal risk premium in check for now. It has been skewing issuance to the front end. For instance, of the \$2.1trn in net borrowing needs it faces in 2026, we expect only \$1.2trn in notes/bonds and the rest (about \$900bn, or 43%) in T-bills. This is well above the share of T-bills in outstanding debt of about 22%. We believe that the Treasury is likely later this year to signal that it is looking to increase auction sizes sometime in 2027. As that comes closer, swap spreads should tighten towards fair levels and long-term yields should rise somewhat.

FIGURE 10. As the fiscal outlook has worsened, Treasuries have cheapened versus swaps



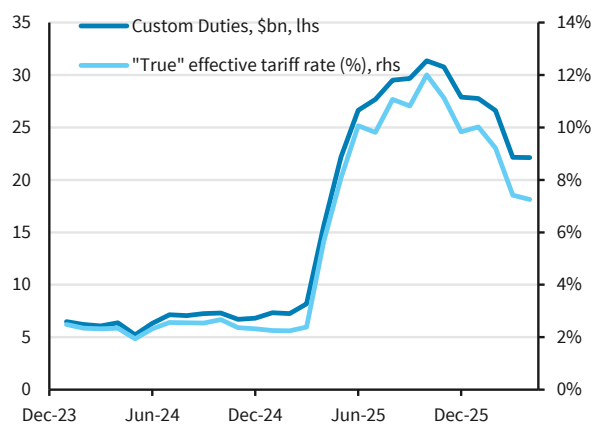
Source: CBO, Barclays Research

FIGURE 11. A 1pp increase in deficit/GDP ratio tightens 30y swap spreads about 15bp



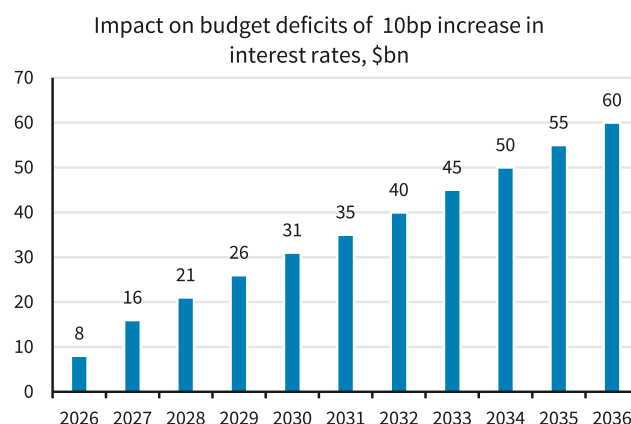
Source: CBO, Barclays Research

FIGURE 12. The effective tariff rate has slipped well below the CBO's assumption of 15%



Source: Bloomberg, Barclays Research

FIGURE 13. Higher interest rates would also add to budget deficits



Source: CBO, Barclays Research

¹ <https://www.cbo.gov/publication/62373>

The rate term premium is well priced, but risks remain

The rate term premium (the swap rate minus the expected rate) has already risen well above pre-COVID levels and likely beyond those pre-GFC as well; the latter conclusion is sensitive to whether survey-based estimates of expected rate are lagging and biased lower. We think a return to pre-GFC norms is largely justified by a few factors:

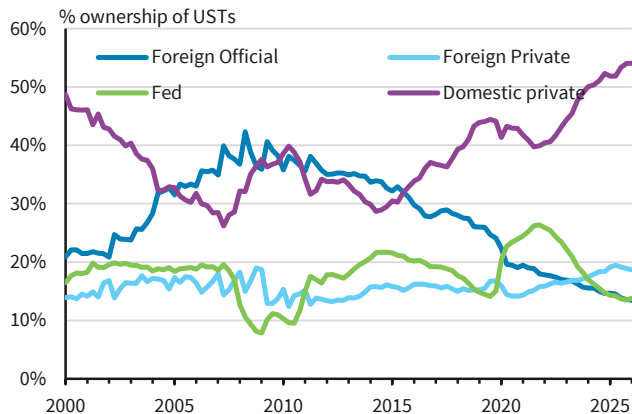
The buyer base has become more price sensitive, needing a higher term premium. [Figure 14](#) shows the ownership of US Treasuries broken down into foreign official, foreign private, Fed and domestic private. Foreign official holdings have steadily fallen over the past decade, and Fed holdings have also unwound the increase during COVID. As a result, foreign and domestic private investors own a larger share of the universe.

The diversification benefits of USTs have come into question with elevated inflation: [Figure 15](#) shows the return correlation between stocks and the long end. The negative values over post-GFC to the pre-COVID era suggest that bonds were diversifying risk-off scenarios, and this insurance value manifested itself as depressed term premia. The correlation has now reverted to positive territory as inflation has become the primary concern. Were growth to dominate again, the term premium might fall.

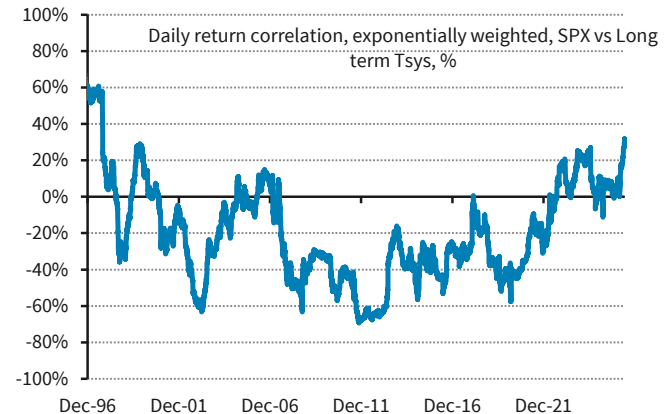
Rate volatility is below pre-GFC levels and has room to rise: Warsh's June FOMC press conference signals a shift away from forward guidance toward a more data-reactive policy framework, with markets encouraged to respond directly to incoming data, rather than attempting to infer the Fed's reaction function. [Figure 16](#) shows that implied rate vol on 2y and 10y tails on average traded higher pre-GFC, when the Fed was communicating less. 1y2y rate vol averaged 116bp/y from 1995 to 2005, versus the current 95bp/y. 1y10y rate vol averaged 109bp/y, vs. 78bp/y currently.

Warsh's disdain for a bloated Fed balance sheet poses upside risk to the term premium: While the Fed's Treasury holdings as a share of outstanding debt are below pre-GFC levels, the portfolio is much longer. About 40% of Fed's holdings are greater than 10y, versus 10% in 2006; that in T-bills is 10%, vs. 35% in 2006. As a result, the portfolio WAM is about 8.5 years, versus 3 years pre-GFC ([Figure 17](#)). We estimate that under passive shortening (via reinvestments but no sales), the Fed's portfolio in 10y equivalents would fall 1pp GDP every year, which could push up the term premium 10bp/yr.

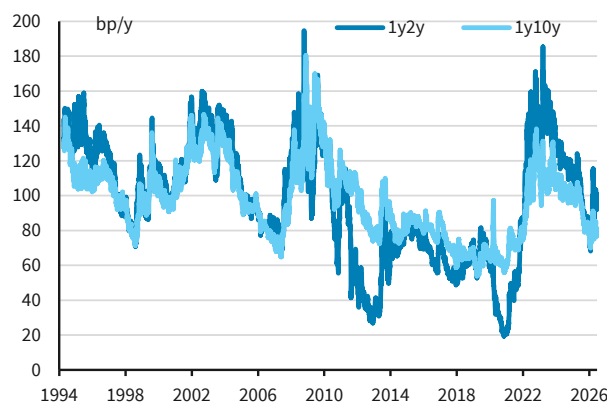
Bottom line: 30y yields around 4.9% do not look particularly high in a historical context, and scope remains for further repricing through neutral rates and fiscal premia: R^* estimates are too anchored to the post GFC–pre COVID era and have room to rise. The deficit outlook is likely worse than is discounted. Rate volatility has room to rise and a shortening of the Fed's balance sheet would further add pressure to the term premium.

FIGURE 14. The buyer base has become more price sensitive needing a higher term premium

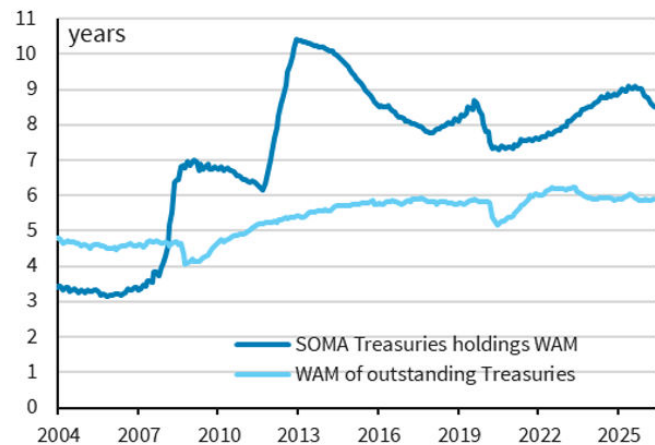
Source: Federal Reserve, Barclays Research

FIGURE 15. Diversification benefits of USTs in a portfolio have come into question with elevated inflation

Source: Barclays Research

FIGURE 16. Rate vol was higher on average pre-GFC, when the Fed was communicating less

Source: Barclays Research

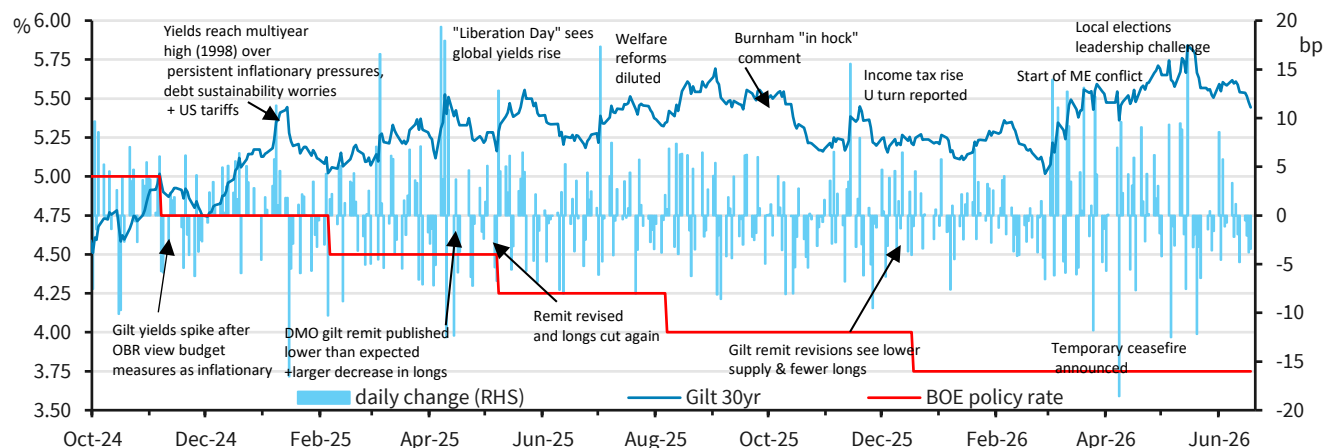
FIGURE 17. Warsh's disdain for a bloated Fed balance sheet poses upside risk to the term premium

Source: Federal Reserve, US Treasury, Barclays Research

UK: Cassandra Complex

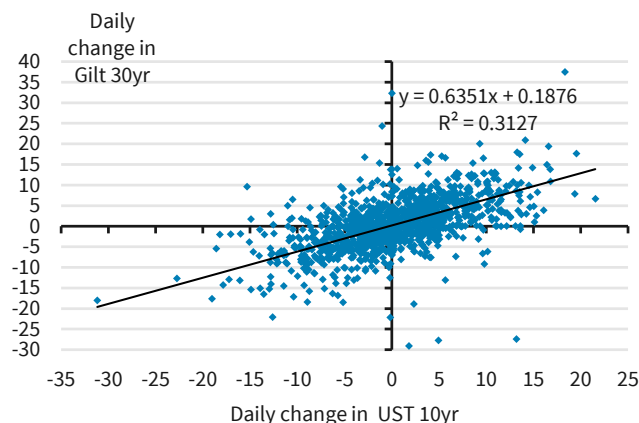
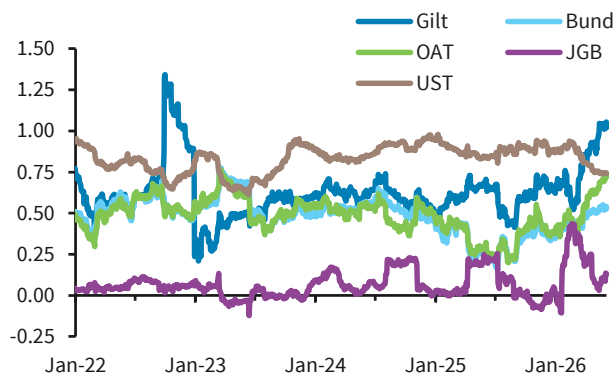
UK long yields: Telling tales versus tittle tatttle

Long-dated gilt yields have resumed the role that they have taken on episodically since 2022: that of the fixed income universe's lightning conductor for wider fiscal discontent. Recency bias leaves market participants sensitive to the risk that a disorderly rise in yields may result in a 2022-style outcome and gives further credence to the view that the gilt market remains uniquely vulnerable to adverse fiscal outcomes. We have previously highlighted that the [UK's fiscal challenges](#), while formidable, are hardly unique. From an issuance perspective, the [DMO has been ahead of other sovereign issuers](#) in terms of re-orientating supply and recognising both the localised waning of demand and the secular move higher in the term premium that has been prevalent in global fixed income.

FIGURE 18. Evolution of 30y yields since October 2024

Source: Bloomberg, Barclays Research

Figure 18 shows the daily evolution of 30y gilt yields since Q324 and it is notable that many of the more sizeable moves have come about due to wider international developments. If we take changes in 10y UST rates as a benchmark for moves in global fixed income, Gilt 30y rates have been weakly positively associated with daily moves in UST10y rates over a long regression period (Figure 19). But a more revealing measure is the rolling 3m regression beta for UST 10y vs. global 30y rates (Figure 20). Since mid-2023, Gilt 30y rates have traded with a higher positive beta than other comparable markets (ie, they will tend to move more sharply than other markets in sell-offs) and since the onset of the Middle East conflict, there has been a jump in the beta, showing that long end has again been under pressure.

FIGURE 19. Gilt 30y vs. UST 10y2021-2026 daily data.
Source: Barclays Research**FIGURE 20. Rolling 3m regression beta UST 10y vs 30y**

Source: Barclays Research

The IMF'S latest [Fiscal Monitor](#) notes that "changing intermediation, diminished convenience yield, and increased rollover exposure amplify the global spillover of US Treasury stress. IMF staff analysis shows that a 1 basis point increase in US yields after an expansionary Treasury debt supply shock – that is, when new issuance of Treasuries exceeds what investors anticipated – raises foreign 10-year yields by 0.8–0.9 basis point." But the IMF also notes that this effect differs across countries, depending on the degree of non-resident ownership (where

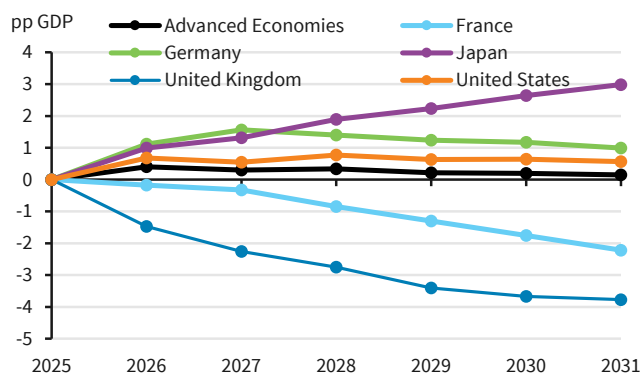
the UK is at the lower end of the spectrum). So if anything, this supports the point that the long end has overreacted, based on this relationship, given that its rolling 3m beta lies above 1.

What should investors make of this? Can (or should) the most recent moves be dismissed as just another bout of turbulence and the long end of the gilt curve is playing its usual role as the most visible pain point of global fixed income? It is easy to dismiss the weakness in UK yields as idiosyncratic to a market that has been perceived as vulnerable in bearish fixed income environments. But if we consider the evolution of term rates in the UK since 2022 and the underlying drivers, a number of factors that might suggest that there is a greater degree of commonality with other markets than might be initially supposed. Consequently, the path that gilts have faced does not look dissimilar to what other markets might face in the near future, given the confluence of events, in particular, the bond market trilemma of negative supply-side economic shocks, higher inflation and changing patterns of underlying demand.

Significant fiscal tightening remains in place

From a macro fiscal perspective, it is important to reiterate how much consolidation is the pipeline in the UK compared with other markets. The most easily comparable data show that the UK is entering a prolonged period of fiscal consolidation over 2026-31 (Figure 21). This is significantly front loaded (1.5pp in 2026 and a further 0.8pp in 2027) but overall averages 0.6pp per year in 2026-31, compared with a flat average for all advanced economies. The cumulative reduction is 3.8pp of GDP, with only France coming close to matching the UK with a 2.2pp consolidation over the same period. It is not coincidental that these are the two bond markets that often come under most scrutiny and the fiscal authorities are taking corrective action. As a result, the UK's general government debt as a percentage of GDP is relatively stable, compared with increases in most other countries, and declining from 2027 onwards (Figure 22). As with all such fiscal measures, the starting point matters but it is illustrative of the broader point that the fiscal outlook across markets looks very different, with significant variation in consolidation plans.

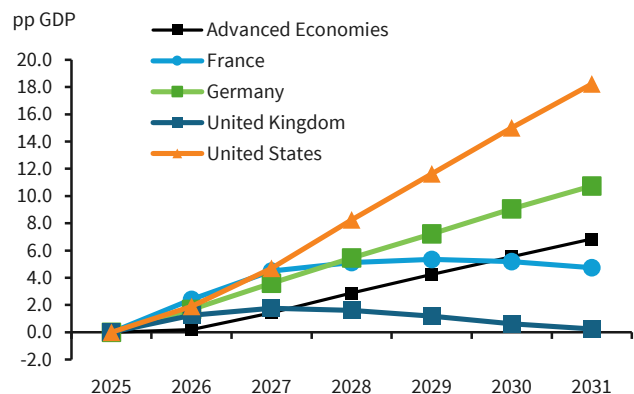
FIGURE 21. Cumulative change in the general government fiscal balance, 2026-31 (2025=0, pp GDP)



Positive (negative) number = deficit increasing (decreasing)

Source: IMF Fiscal Monitor

FIGURE 22. Cumulative change in general government gross debt, 2026-31 (2025=0, pp GDP)



Positive (negative) number = debt as % GDP increase (reduction) vs previous year. Japan excluded for comparability reasons.

Source: IMF Fiscal Monitor

In [March 2026 EFO](#), the OBR reported that the Chancellor had met her own fiscal rules with a headroom measure of about £27bn against PSNFL and a £23.6bn margin vs. the current budget rule. We estimate that the combination of increased debt costs due to higher yields and inflation and a lower growth profile has reduced the current budget headroom by £10bn, to

about £16bn. This is something of a moving target, given the rally in yields and an easing of the inflation outlook after the announcement of a ceasefire.

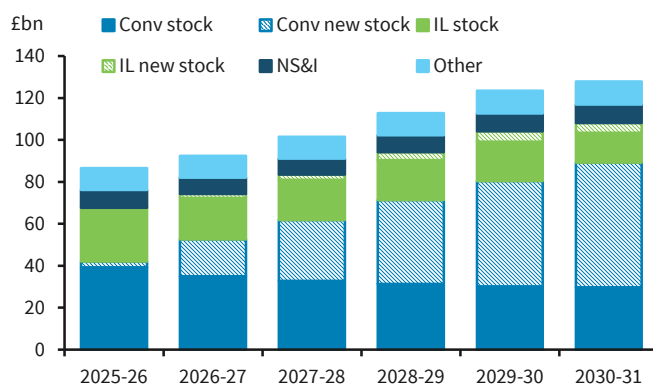
The current budget measure is salient now, since it will include the debt interest bill, which, after welfare, is the second-largest individual AME spending item; at about £100bn, this is approximately 9% of total public spending, or in layman's terms, £1 of every £10 raised in tax goes toward servicing debt. While this may seem high, the equivalent number for the US is about 18%. It is the proximity to the buffers set up under the fiscal framework that make the question of issuance not only one of supply but also one of cost. [Figure 23](#) breaks the debt interest bill into its constituent parts:

- Coupons on gilts: existing stock and projected new issuance;
- Payments to holders of NS&I products; and
- Interest paid on reserves held by banks at the BOE.

We net out interest paid to gilts in the APF, as this is an intra-public sector payment, since the APF receives coupons on the gilts it holds, while the Bank pays Bank Rate on the reserves it created to finance the asset purchases made by the APF. The coupon payments cancel out within the public sector flows, so the net effect on debt interest becomes the coupon income paid to the APF less the cost of interest on the reserves created to buy them ("carry").

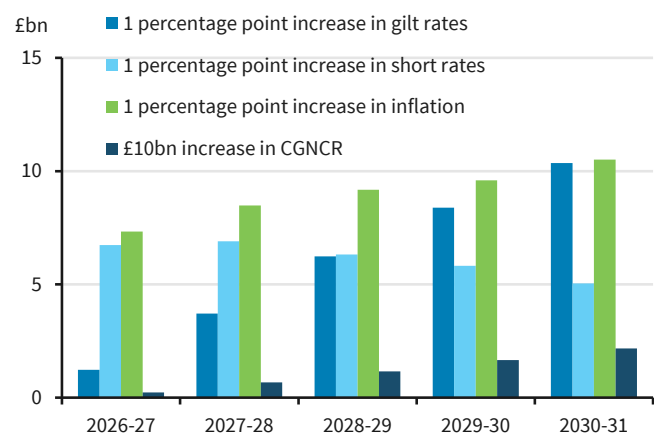
The bulk of the increase in the overall debt interest bill comes from interest on new conventional supply, reflecting the DMO's sizable medium-term gross financing requirements. By the end of the forecast period, this makes up about £60bn of the overall £137bn bill. The overall bill is very sensitive to changes in inflation and rates ([Figure 24](#)), where a 100bp rise in gilt yields would increase the debt interest bill c.£10bn by the end of the forecast; a similar effect is seen for a 100bp rise in inflation. So from a fiscal perspective, it makes sense for the DMO to minimise its exposure to high long-dated yields and accept that what it is giving up in debt interest certainty, it is adding to its refinancing risk. The starting point is clearly advantageous for the DMO, given the historic issuance patterns have left the UK with a long-maturity market, so it has the space to pursue a long-term strategy of debt maturity shortening before it becomes overly concerned with refinancing risk.

FIGURE 23. Debt interest bill (ex-BOE APF)



Source: Office for Budget Responsibility

FIGURE 24. Debt interest bill sensitivity



Source: Office for Budget Responsibility

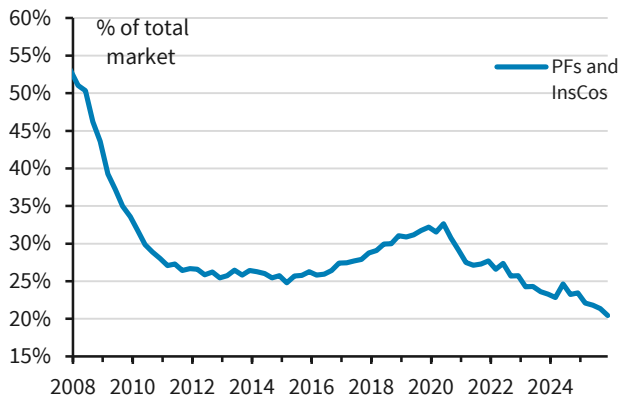
Declining demand but a reasonable curve

In its reorientation of supply away from the long end, the DMO acted ahead other sovereign issuers, as it acknowledged and adapted to the waning of long-end demand and the rise in policy rates that underpinned rising rates. Figure 25 shows that at the end of 2025, traditional long-end domestic owners' holdings had dropped to 20% of the overall market, its lowest level on record. However, the reduction in structural demand by natural buyers of long duration leaves the DMO issuing for a different investor base. It also coincided with rising rates and a diversification of the overall investor base as banks and discretionary macro investors (domestic and international) increased their presence in the market. When considering his transformation, a recent [BIS paper on pension asset allocation](#) concludes that:

"As pension funds step back, other non-bank financial institutions, which have been rapidly expanding in size, step in as investors. Take government debt as an example, this trend moves the composition of investors away from more stable buy and hold investors.....non-bank investors have the highest price elasticities for sovereign debt, a result primarily driven by investment funds rather than insurance companies and pensions. Having an investor base with high price elasticities benefits the sovereign in terms of their borrowing costs, as it requires a smaller increase in yield to recruit these investors to purchase more debt. However, if these investors are also more flighty in the face of local or global risk, then their presence creates financial stability concerns for the sovereign. In effect, these funding sources could dry up when they need them the most."

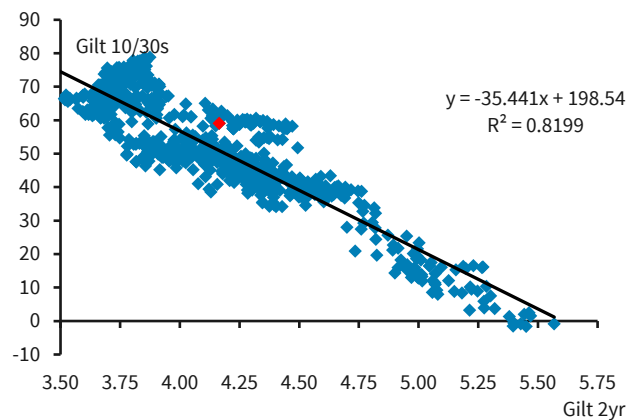
The flip side is that diversification of the issuer base enforces a degree of market discipline on the fiscal authorities. In gilt space, the continued volatility due to political uncertainty should be expected to steepen the curve. But the curve shape looks broadly in line with short rates, which suggests that the curve move has not been disorderly and there has yet to be a significant move higher in term premium (Figure 26).

FIGURE 25. Traditional long end ownership has dropped



Source: National Statistics

FIGURE 26. Gilt 10/30s vs. Gilt 2y

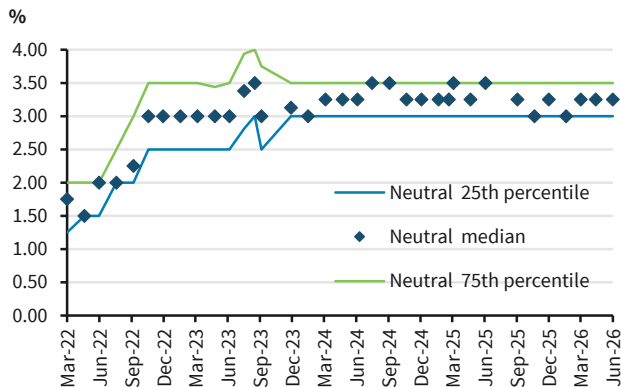


Source: Barclays Research

There are two clear paths via which long yields can rise: a rise in term premium, which is the most common driver for long-dated rates, or a rise in neutral rate expectations, which would lift the expectations component of yields. The latter would likely be a curve-flattener, whereas a term premium rise is traditionally a steepener. This is because any increase in the term premium, be it domestically driven or from a global move, would have a bigger effect on longer-dated yields than shorter-dated ones. The BOE's latest MaPS survey shows neutral rate expectations consolidating at 3.00-3.25%, so slightly lower than the current policy rate of 3.75% (Figure 27). This means that if there is an increase in neutral rate expectations, it will further

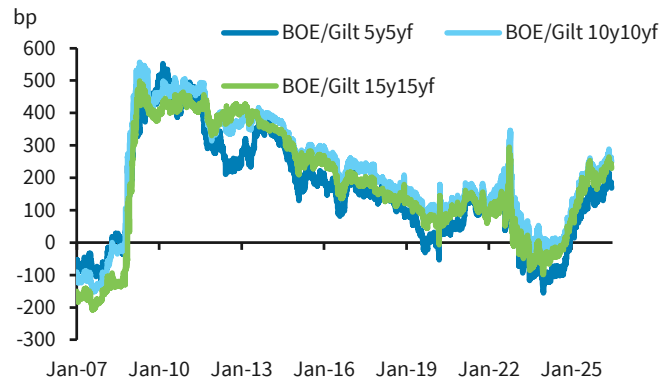
compress the spread between the policy rates and intermediate/long forward rates (Figure 28). The curve has been steeper in the past, but from a valuation perspective, it implies that gilt yields should find better support at current levels. The transition to a Burnham premiership and potential change of leadership at the Treasury introduce more medium-term uncertainty to the gilt market in terms of the likely landing zone for fiscal policy and the overall fiscal architecture. The market will remain under scrutiny, as fiscal risk due to political factors might well increase in the run-up to the next Budget in Q4 26.

FIGURE 27. BOE MaPS estimate of neutral rate



Source: Bank of England

FIGURE 28. Selected gilt forwards



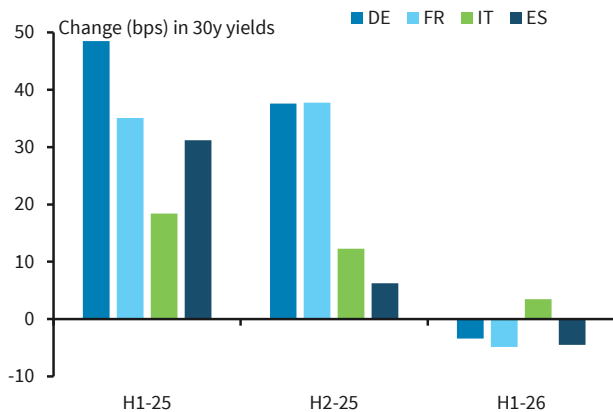
Source: Bank of England

Europe: Cheap levels meet lower WAMs

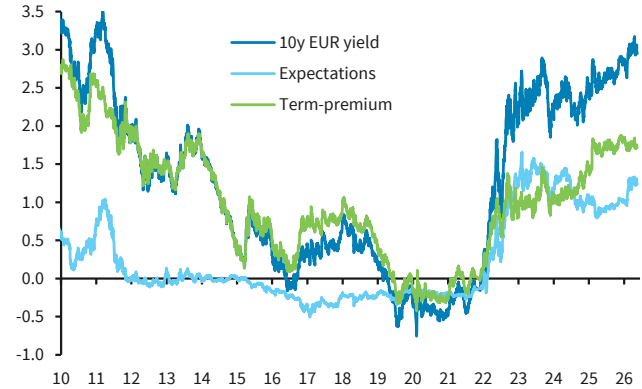
- **Long-end EGB cheapening is taking a breather after an *annus horribilis*.** 2025 had sharp underperformance of long-end EGBs, on Germany's fiscal pivot, fears about the Dutch pension fund transition and continued heavy supply. With DMOs responding to the steepness of cash curves by reducing the WAM of issuance, alongside demand holding up better than expected as growth concerns grow, long-end EGBs have had a more balanced year so far.
- **We see the potential for long-end EGB yields to keep drifting higher, but driven largely by global factors.** The overall EGB supply burden and fiscal sustainability worries amid flare-up of political uncertainty are key domestic factors, alongside potential bearish shocks from global yields that could push long-end EGB yields cheaper. A revival in growth expectations would also weigh on the sector. In this setting, a reduction in supply WAM would not prove to be an effective counter-balancing factor. A material slowdown in growth or financial stability concerns that increase the likelihood of a restart of asset purchases are necessary conditions for an outright rally in long-end EGBs.

A perfect storm in 2025

When we analysed the outlook for long-end EGBs in [June 2025](#), they had endured a bruising first half of the year, against a backdrop of heavy issuance, a dramatic German fiscal pivot, and overall euro area growth resilience. These factors continued to weigh on long-end EGBs for the remainder of the year. However, in H1 26, the pressure has subsided somewhat. The new energy shock – and consequent pricing of ECB hikes – moved the cheapening pressure to the front end and drove a violent bear-flattening of long-end curves in Europe in March, which has only partially been reversed more recently. In effect, curve-steepeners have undergone an abrupt regime shift, whereby front-end pricing and rate volatility have once again become key drivers, with structural themes taking a back seat.

FIGURE 29. In outright terms, long-end EGB yields have been roughly stable year-to-date

Source: Bloomberg, Barclays Research

FIGURE 30. EUR term premia pushed higher on Germany's fiscal revolution in March 2025, but has been stable more recently

Source: Bloomberg, Barclays Research

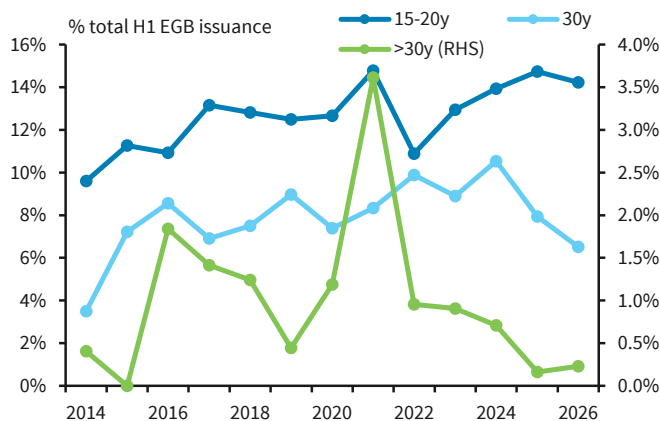
Perhaps more surprisingly, in outright terms, long-end EGB yields have been roughly stable year-to-date, across core and periphery countries (Figure 29). The energy shock has pushed the rate expectations component of yields sharply higher: the residual term premium component, on the other hand, is little changed (as shown in Figure 30, which shows our model decomposition of 10y yields into the two components). In essence, this year's macro developments have led markets to believe that Europe faces a near-term inflation challenge necessitating higher rates, but there has not been a notable increase in risk premium for fiscal challenges and heavy issuance. In our view, several factors have eased the intensity of long-end cheapening pressures relative to last year, including reductions to the average maturity of issuance by euro area DMOs and long-end demand conditions proving less challenging than anticipated.

Supply: Relentless deluge meets WAM reductions

2026 has had a record deluge of EGB issuance: total supply should reach c.€1.5trn, up c.€100bn y/y. At the issuer level, heavier gross supply is underpinned by Germany, in the context of the aforementioned fiscal pivot: gross Bund supply should total c.€350bn in 2026, up €60bn y/y. In addition, full-pace ECB QT continues to add to the net supply burden: private investors will need to absorb almost €900bn of overall net supply this year, close to last year's unprecedented volume.

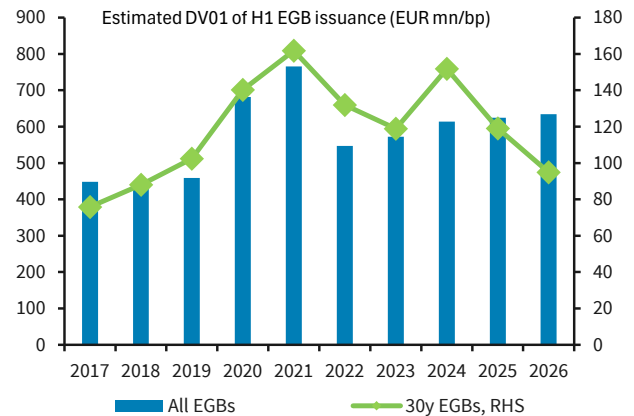
While total issuance volumes are sharply higher y/y, DMOs have also responded to last year's curve steepening by trimming the weighted average maturity (WAM) of issuance. For H1, we estimate the WAM of EGB supply at c.10y, down c.0.3y on the same period last year. This represents the lowest YTD WAM of any year since 2015, when the ECB began its QE purchases and thereby spurred a dramatic lengthening of average maturities by euro area DMOs. WAM reductions have been underpinned in part by reductions to the share of issuance at the 30y point, which is at its lowest level since 2014 for the EGB market as a whole (Figure 31).

FIGURE 31. Issuers have been scaling back the weighted average maturity of issuance, with the share of issuance in the 30y bucket declining



Source: National Treasuries, Barclays Research

FIGURE 32. Reductions to the WAM of issuance have lessened the DV01 burden of long-end supply



Source: National Treasuries, Barclays Research

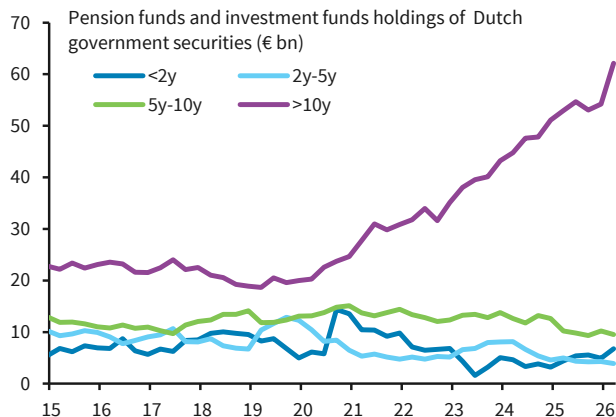
Ultimately, DMOs have seen less value in issuing at the long end of the curve, following the notable push higher in long-end yields in 2025. The trimming of WAMs has lessened the total DV01 burden of issuance on the market, even as notional gross supply volumes have pushed sharply higher (Figure 32). However, the pivot away from the long end by euro area DMOs has not been sufficient to spur an outright rally in long-end yields so far this year.

Demand: Some bright spots

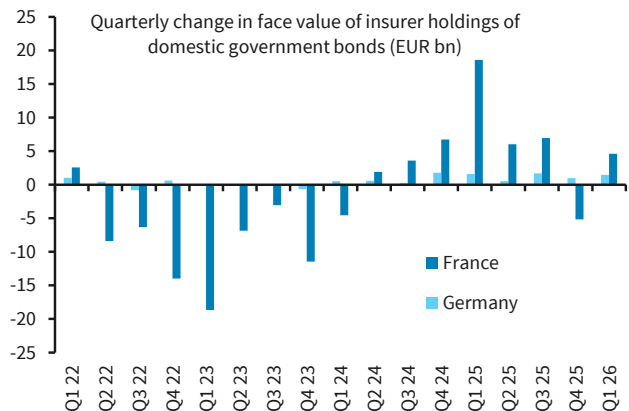
On the demand side, investors have become increasingly nervous about the effect of the Dutch pension fund transition on the long end of core EGB curves. Under the old defined benefit system, Dutch pension funds were key receivers of long-end swaps and buyers of long-end EGBs, to hedge their liabilities. Under the new collective defined contribution system, firms have less need to hedge at the long end of the curve, with more freedom to invest in higher-risk, higher-return assets for the youngest cohorts. As such, the fear has been that Dutch pension funds would sell down their long-end bond holdings and reinvest the proceeds in risky assets. These concerns were a key factor underpinning the underperformance at the long end of the Dutch curve in late 2025.

Thus far, however, concerns about such sales appear overblown. Data from the Dutch central bank shows that domestic pension and investment funds actually *increased* their holdings of long-end Dutch bonds in Q1 by c.€8bn.

Besides pension funds, euro area insurers have also traditionally been key investors at the long end of EGB curves, in OATs especially. Nonetheless, insurers had been net sellers at the long end for an extended period. In part, this reflected an extended period of outflows from traditional French life insurance products (given higher returns being offered by alternative savings products).

FIGURE 33. Dutch pension and investment funds increased their holdings of long-end DSLs in Q1

Source: DNB, Barclays Research

FIGURE 34. French insurers have been increasing their domestic bondholdings since mid-2024, following an extended era of net sales

Source: ECB, Haver Analytics, Barclays Research

More recently, however, insurer appetite has strengthened, in OATs specifically. Indeed, as Figure 34 shows, net purchases of OATs by French insurers have been positive since mid-2024, contrasting with the preceding era of net sales. This in part reflects renewed inflows to traditional French life insurance products, with relative returns becoming more attractive as a result of elevated OAT yields (which feed through to returns) and inflation falling significantly from 2022's peaks (lessening the relative attractiveness of the livret A product). Elevated long-end yield levels and significant declines in volatility from 2022's peaks have also helped to make long-end OATs a more enticing prospect for insurers. Healthy insurer demand has provided support for the long end of the OAT curve in recent quarters, as reflected by relative flatness of the 10s30s France-Germany box versus previous years.

Fiscal risks: OATs, BTPs could face scrutiny into 2027 elections

Fiscal sustainability worries have faded into the background in the euro area in recent quarters, in a context of limited domestic political noise and tight sovereign spread levels. An ECB rate hiking cycle would imply upwards pressure on interest expenditures for euro area governments, creating fresh fiscal headaches. For the time being, however, EGB spreads have remained sanguine about this prospect: BTP-Bund is only marginally wider YTD, and OAT-Bund is roughly unchanged, despite the sharp repricing higher of the ECB's policy rate path.

The natural question for investors is: what could make OATs or BTPs feel more sizable bearish impulses because of fiscal sustainability worries? From a macro standpoint, a relatively challenging scenario would likely entail the ECB's delivering a more aggressive rate hiking cycle than currently expected, reflecting a fresh worsening of the energy market backdrop and/or notable stickiness of inflationary pressures. This could deliver a double whammy to fiscal sustainability for the likes of France and Italy, if yields push sharply higher (increasing debt servicing costs) and growth slows more than currently expected (putting additional upward pressure on debt/GDP ratios). With both countries going to elections next year, a flare-up in political uncertainty could create a very challenging mix for these markets, but this is a risk that would come to the fore only in late 2026/early 2027. For now, while the fiscal math remains challenging, a clear catalyst to generate a market event is missing.

Bottom line: Long-end EGBs not out of the woods yet

The overall supply burden remains heavy (especially with QT taken into account), demand remains in a state of flux given ongoing Dutch transitions, and fiscal sustainability worries could re-emerge as next year's French and Italian elections draw closer. Collectively, we think these

factors could still leave room for some further drift higher in long-end yields, provided political catalysts realise. At the same time, we think the pace of cheapening will remain far slower than in 2025, with WAM reductions easing the burden of long-end issuance to some extent and demand holding up better year-to-date than feared. Sharper legs of cheapening could become more likely if long-end UST yields were to push significantly higher on a reassessment of the neutral rate, thereby spilling over to long-end EGBs.

At the individual country level, OATs and to some extent BTPs could also be vulnerable to underperformance as next year's elections draw closer. For the bearish structural trend in long-end EGB yields to be decisively broken, we think a macro regime shift would likely be required. This could, for instance, involve the ECB's focus pivoting towards growth risks at some point down the line (eg, as a result of a fresh negative demand shock). In that scenario, sizable rate cuts and contemplation of asset purchases could provide fresh bullish impulses for long-end EGB yields (as previously seen in 2014, in anticipation of the start of ECB QE the following year, and in 2019, in anticipation of QE restarting). In the absence of such a regime shift, large outright rallies in long-end EGBs remain a challenging prospect.

Japan: Higher by term premium

- Rising yen rates reflect greater fiscal risk premia and behind-the-curve concerns. We expect continued upward pressure on JGB yields, with supply-demand conditions suggesting that this is likely to be more pronounced in the 10y sector than in the super-long sector, with further upside risks from the Takaichi administration's "high-pressure economy" policy.
- While government bond yields are expected to remain higher in terms of absolute levels and in FX-hedged terms, we see limited room for Japanese investors to shed their foreign bond holdings significantly.

Rising fiscal and behind-the-curve concerns, exacerbated by supply-demand

Inflation risk premia have been the primary driver of the rise (and at times overshoots) in JGB term premia since last autumn. Indeed, the main drivers of rising JGB yields have shifted from risk-neutral yields (BoJ rate hike expectations) in 2024 to JGB term premia in 2025, and that trend became even more prevalent in 2026 (Figure 35). Two factors that have contributed to this dynamic are fiscal concerns due to expansionary fiscal policy under Takaichi administration and heightened concerns that the BoJ may be falling behind the curve, exacerbated by the inflationary impulse from yen depreciation and elevated oil and import prices.

First, persistent fiscal concerns drove a wider inflation risk premium. The rise in JGB yields earlier this year, led by term premia due to calls for consumption tax cut during the lower-house election, has taken a breather following the US authorities' USDJPY rate check, remarks by Treasury Secretary Bessent expressing concern about JGB spillover into USTs and the ruling LDP's landslide victory, reducing the perceived need for fiscal concessions. However, upward pressure resumed soon thereafter with the appointment of two reflationist BoJ board members and reports about funding for the supplementary budget in late May, eroding the markets' sense of reassurance.

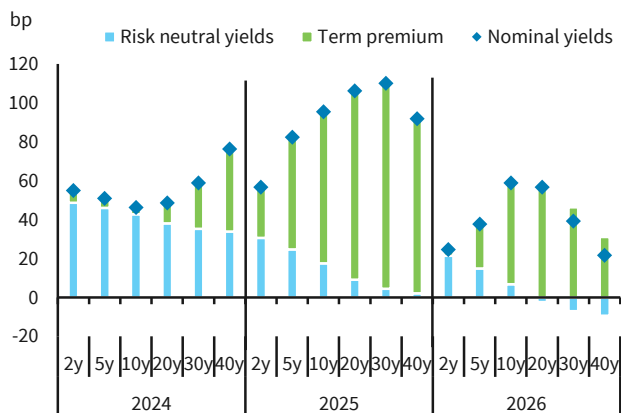
Second, geopolitical tensions in the Middle East have intensified concerns that the BoJ is falling behind the curve, thereby pushing inflation risk premia higher. Behind-the-curve concerns due to higher import prices and greater inflation pass-through have also fueled a rise in JGB yields. These pressures were exacerbated by the Middle East geopolitical tensions, which led to a rise in energy prices and the closure of the Strait of Hormuz. The sharp acceleration in

April PPI can be interpreted as an early manifestation of these concerns, on which the BoJ expressed greater concern about inflation risk than growth to deliver a 25bp hike in its June meeting.

JGB supply-demand conditions have likely aggravated the upward pressure on yields.

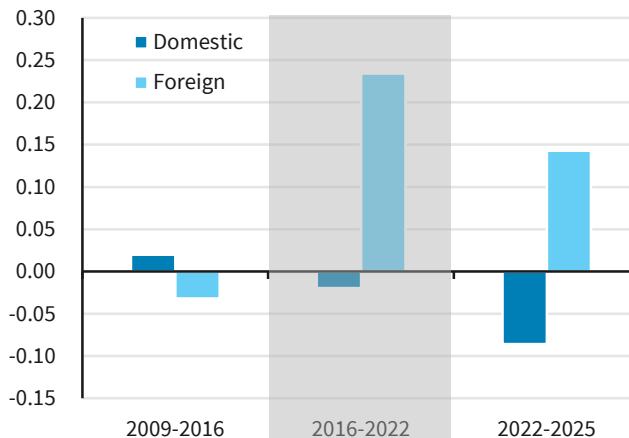
According to our analysis, when JGB yields break above their recent range, volatility-averse domestic investors tend to be net sellers (Figure 36). That is, as with pension LDI during the 2022 UK gilt crisis, the negative gamma-like investment behavior of domestic investors appears to be amplifying the rise in yen rates (see [2022 gilt-style crisis for Japan?](#) 7 August 2025).

FIGURE 35. Driver of JGB markets shifting from risk-neutral yields to term premia



Source: Barclays Research

FIGURE 36. Beta of net purchases to range overshoot in super-long JGB yields



Note: Beta of domestic and foreign investors' net purchases of super-long bonds with respect to the amount by which the 30y JGB yield exceeds its highest level over the past three months.

Source: JSDA, Bloomberg, Barclays Research

Outlook and risk for the long end

We expect continued upward pressures on JGB yields. While the rise in term premia has recently stabilized somewhat, the upcoming budget documents, such as PM Takaichi's Basic Policies on Economic and Fiscal Management (a blueprint for the budget to be released in July) and initial budget requests in August, as well as persistent behind-the-curve concerns, should continue to exert upward pressures on the term premium. The LDP lawmakers' group advocating "responsible proactive fiscal policy" on June 8 proposed a shift to multi-year PB targets, explicitly called for a zero food consumption tax and positions crisis management and growth investment as central pillars of the FY27 budget. Additionally, for budget formulation from FY27 onward, the Takaichi administration has set out a policy of moving away from reliance on supplementary budgets and "including necessary spending as much as possible in the initial budget," indicating that the latter, which has been in JPY110-120trn in recent years, would expand to scale including supplementary budgets, which has been JPY120-130trn (see [Fiscal risk back in focus](#)). These developments could reignite longer-term fiscal concerns.

Evolving supply-demand conditions suggest that upward pressure is likely to be more pronounced in the 10y sector than the super-long. The 10y sector is not only the most vulnerable part of the curve to the inflation risk premium, but is also exposed to the deterioration in supply-demand conditions, with a large increase in DV01 net supply, including JGB issuance and BoJ's QT (Figure 37).

On the other hand, due to the MoF's recent issuance cuts in super-long bonds in exchange for increased issuance in bills and the short end, supply-demand conditions have improved

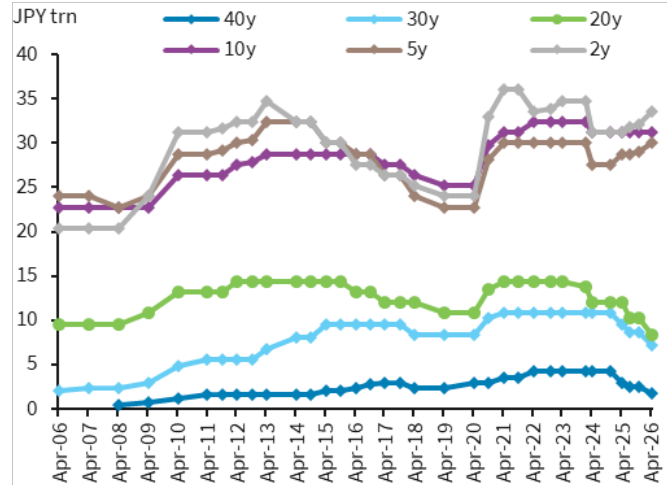
significantly, especially for the 30y and 40y sectors, with 30s40s even inverting. The 10y sector appears to be the most vulnerable from a supply-demand standpoint. Meanwhile, fair value in the super-long sector, based on supply-demand conditions implied by the BoJ's purchase plans and the current issuance plan, remains broadly unchanged, suggesting that yields in the super-long sector are relatively stable from a structural perspective (Figure 38).

FIGURE 37. JGB supply-demand in FY26

Supply-demand in FY26 (JPY trn)								
	JGBs in mkt Mar 26	JGB issuance in FY26	BoJ buying annual	Shift to shorter tenor	Shift from longer tenor	JGBs in mkt Mar 27	Chg in JGBs	DV01 (JPYbn)
1-3y	79	35	8	-49	29	86	7	1
3-5y	68	32	7	-29	17	81	12	5
5-10y	128	35	8	-17	11	149	21	13
10-25y	204	13	3	-11	12	215	12	13
25-40y	90	10	2	-12	0	86	-4	-6
Total	570	126	28	-119	69	617	48	26

Source: MoF, BoJ, Barclays Research

FIGURE 38. Relationship between the 10y/30y JGB term premium curve and the super-long JGB interest rate risk position



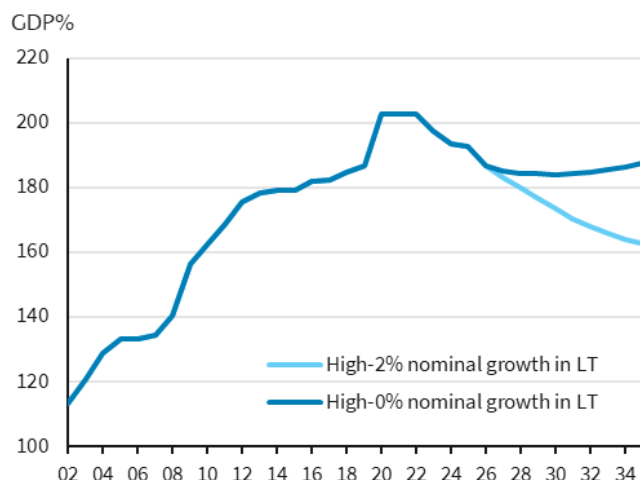
Note: A cointegrating vector is estimated to avoid spurious regression.

Source: MoF, BoJ, JSDA, Barclays Research

The risk is for greater upside in JGB yields from fiscal policy. Takaichi's "responsible proactive fiscal policy" continues to pose upside risks to JGB yields, due to its framework, in our view. Specifically, she is seeking to lower the government debt/GDP ratio sustainably to ensure fiscal prudence. However, this is expected to decline over the coming decade purely due to inflation (see the high-2% nominal growth scenario in Figure 39), which raises tax revenue immediately, while an increase in interest rate expense will only materialize sequentially with refinancing over the next nine years (ie, the average duration of outstanding JGB). Hence, this optically convenient target suggests a risk of loosening fiscal prudence.

In this light, fiscal deterioration, even if the debt/GDP ratio remains on a downward path, could still invite fiscal concerns, hence a rise in the term premium, in our view. Figure 40 shows the estimated increase in the term premia across maturities under various scenarios of a permanent PB deterioration over the next decade. For example, if the PB deteriorates permanently by JPY5trn, JGB term premium could rise 6bp for 10y and 13bp for 30y. While the results show a larger increase in the super-long term premium than for the 10y sector, which is intuitive, we believe that the pressure could be more concentrated on the belly, as any increase in JGB issuance is likely to focus on maturities of 10y and shorter, rather than the super-long sector, in line with its recent strategy.

FIGURE 39. Japan's debt/GDP ratio outlook



Source: Cabinet Office, Barclays Research

FIGURE 40. Estimated increase in the term premia based on PB deterioration scenarios

PB deterioration scenario (JPY trn)	TP 10y	TP 20y	TP 30y
5	6	12	13
10	12	24	25
15	19	36	38
20	25	48	51

Note: The unit for the increase in the term premium is bp. See [Yen rates shaken by fiscal concerns](#) (22 January) for the detailed estimation procedure.

Source: Barclays Research

In the case of a re-accelerated rates selloff, a recovery of market confidence is needed as a fundamental solution, but supply-demand measures are the near-term focus.

Gaining market confidence in fiscal discipline would be the fundamental solution to stabilize risk premia across JGB, breakeven inflation and the currency, as in January-February this year, only to be toppled by a reflationist BoJ board nomination and fiscal policy concerns. However, with the Takaichi administration's bias towards easier fiscal/monetary policy, external pressure from either the US or the market may be needed.

Realistically, focus would be on supply-demand measures, such as further shortening of JGB issuance maturities and increased issuance of retail JGBs, where the MoF is indeed considering offering new products such as inflation-linked bonds and super-long bonds for households (Reuters, 20 May). The BoJ could also revise its JGB purchase plan (eg, extending maturities) or conduct emergency operations in response to a sharp rise in rates, but this carries the risk of triggering rapid JPY weakness. MoF buybacks may also be difficult, given the lack of progress since last summer and concerns that buying back off-the-run bonds during a rising-rate environment would increase interest costs. These stopgap measures may be able to buy time, but this situation differs substantially from the supply/demand-driven selloff in the first half of last year, when rates rose alongside a marked cheapening in ASW. Given the latent risk of further JPY weakness from additional BoJ purchases (and the associated cost of additional FX intervention), they are unlikely to provide a fundamental solution unless the government earns fundamental market confidence, in our view.

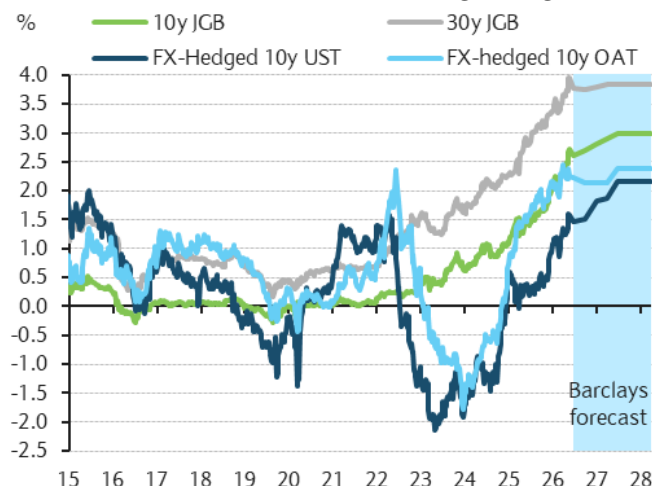
Japan demand for foreign bonds

Despite higher yields, we see little sign of repatriation away from foreign bonds into JGBs. While JGB yields are expected to remain higher in absolute levels and FX-hedged terms (Figure 41), we see limited room for Japanese investors to shed their foreign bond holdings significantly.

The most carry-sensitive life insurers have already sold a significant amount of foreign bonds in 2022-23, during the global duration selloff and rise in FX hedge costs, putting their holdings back to the levels prior to the BoJ's negative rates policy adoption in 2016 and leaving little room to sell further (Figure 42). Bank holdings also have been range-bound, but their foreign bond investment tends to be driven by the outlook for USTs (ie, capital-gains driven), rather than relative carry, which suggests some scope for sales due to the possibility of Fed hikes and

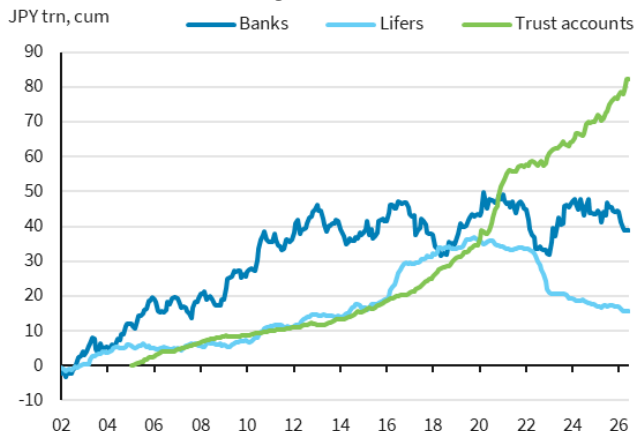
expected higher yields. Trust accounts (ie, pension funds) have continued their rapid accumulation of foreign bond holdings to this day, but that is due to re-balancing driven by the global equity rally. While potential portfolio allocation shifts back to JGBs have been speculated, GPIF has noted that underlying higher domestic yields were already in its assumption when it kept its asset allocation unchanged in 2025.

FIGURE 41. Yield comparison of JGBs and FX-hedged foreign bonds



Note: FX hedge costs based on 3m FX swap. Based on our global rates forecast. OAT forecast assumes average spread to Bunds.
Source: Bloomberg, Barclays Research

FIGURE 42. Cumulative foreign bond investment by investor type

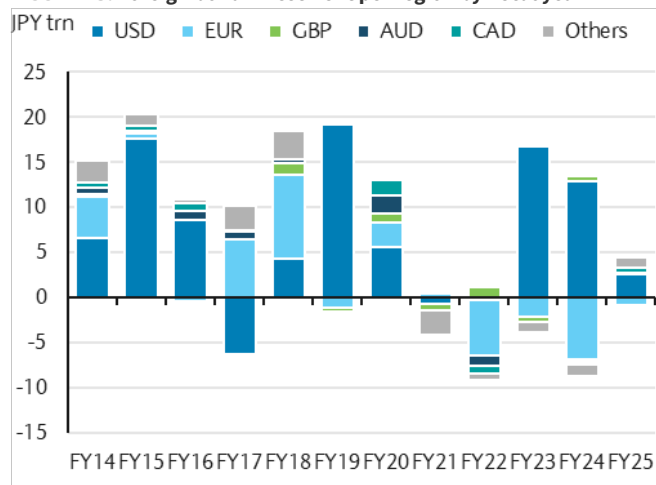


Source: MoF, Barclays Research

In terms of geography, Japanese investors have favored US bonds over other regions in recent years, even with less attractive FX-hedged UST yields over EGBs (Figure 43). This may partly reflect FX-unhedged investment based on higher nominal yields and a constructive outlook for the USD.

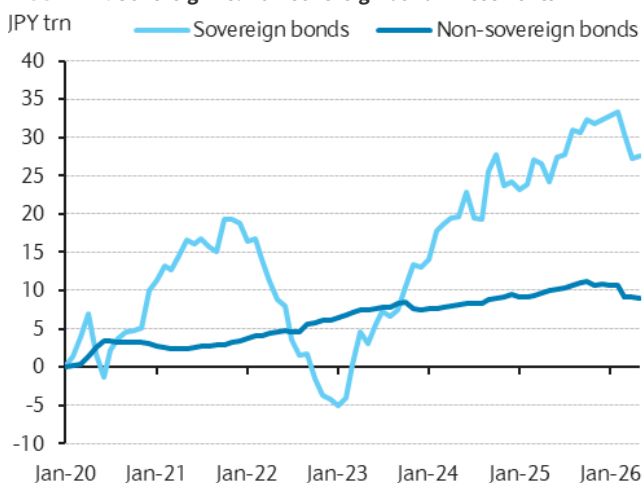
In terms of products, sovereign bond investment has led the overall increase since 2023, but non-sovereign bonds (eg, credit assets) have also had a steady increase until the recent selloff after geopolitical flare-up in the Middle East this year (Figure 44). The latter likely reflects FX-hedged investment using matched-maturity xccy swaps, as FX-hedged government bonds are no longer attractive, as noted above.

FIGURE 43. Foreign bond investment per region by fiscal year



Source: MoF, Barclays Research

FIGURE 44. Sovereign vs. non-sovereign bond investments



Note: Sum of US, Germany, France, Italy and UK.
Source: MoF, Barclays Research

Analyst(s) Certification(s):

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